



VF Corporation Company Analysis

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TABLE OF CONTENTS

01	HISTORY	
	History & Major Landmarks	03
	Mergers & Acquisitions	03
	Internationalisation	03
02	BUSINESS MODEL	
	Brands	04
	Products	04
	Operations & Risks	05
03	CORPORATE GOVERNANCE	
	Ownership Structure	06
	Key Governance Elements	07
04	PERFORMANCE	
	Profitability	08
	Liquidity	09
	Financial Strength	11
05	MACROECONOMIC CHALLENGES	
	PESTEL Analysis	11
	Political Exposure & Manufacturing Footprint	12
	Tariff Stacking	12
	Potential Solution	12
06	APPENDIX	13
07	BIBLIOGRAPHY	24

HISTORY



HISTORY & MAJOR LANDMARKS

VF Corporation is one of the world's largest **publicly owned** fashion apparel manufacturers, designing and producing a wide range of clothing and accessories for consumers in the US and international markets. Its success wasn't accidental: **strategic decisions** shaped how VF evolved from a basic outfit maker into the owner of widely recognised brands. The company now owns a **portfolio** of brands in several categories all under one organisational structure.

Back in 1899, the business began in Pennsylvania under the name Reading Glove and Mitten Manufacturing. Well before its future prosperity, the company made a **strategic shift** into clothing manufacturing, which may have been the single most important decision in its history. After this, the company changed its name to Vanity Fair Silk Mills and moved into silk lingerie production, setting off a process through which it gradually diversified and expanded.

One of the major landmarks in its history was its decision to go public in the 1950s, which provided the capital necessary for further expansion. The company continued to offer a range of products throughout the 20th century, bringing in new labels and items along the way. To reflect its growth into these new areas, the parent company's name was changed from Vanity Fair to VF Corporation in 1969.

MERGERS & ACQUISITIONS

A critical aspect of VF Corporation's strategy has been its approach to mergers and acquisitions. In 1986, VF became the United States' largest apparel manufacturer and domestic jeans supplier when it acquired the Blue Bell Holding Company, Inc., a competitor that produced Wrangler jeans. VF's purchase of Blue Bell was regarded as an ideal match between two companies with similar manufacturing cultures. The deal pushed the company much deeper into the jeans and packs industry, giving it momentum for future acquisitions. In the following years, VF Corporation continued to expand its brand portfolio, acquiring other companies in a wide range of categories. The acquisitions of the early 2000s made it necessary to adjust the company's organisational structure. In late 2000, a new coalition was created to house The North Face, Eastpak, and JanSport (apparel brands with strong reputations in the outdoor and action sports market). This was followed by the acquisition of Vans in 2004, further strengthening its position in casual wear.

INTERNATIONALISATION

VF Corporation's internationalisation strategy has also been a key driver of its success. The company expanded into overseas markets where demand was rising. VF recognised the potential of international markets and therefore extended its operations beyond the United States. The company now maintains a dominant position in European, Asian and Latin American markets.





Instead of applying the same playbook everywhere, it adapted to the different needs of each region. This international expansion not only increased VF's revenue streams but also increased its global consumer recognition and reputation.

The company is focusing on a combination of new product development, cost reduction and inventory management measures to strengthen relationships with retailers and enable the firm to respond more effectively to market needs. VF has implemented technological innovations to optimise its operations and improve customer experience. Investments in digital transformation and e-commerce are also major steps towards achieving this goal. Sustainability is another top priority for VF Corporation. VF has ongoingly introduced eco-friendly practices throughout its supply network. Former CEO Steve Rendle stated, “At VF, our performance-driven culture is grounded in purpose, which leads us to remain sharply focused on delivering consistent business results while also achieving high standards in environmental and social responsibility”.

To reduce its environmental footprint, the company works to decrease its impact through three main initiatives, including sustainable material selection, waste minimisation and energy consumption optimisation. VF meets customer expectations for environmentally responsible products whilst securing its business operations for long term future success. According to this year's report highlights, the goal of the VF's Worker & Community Development Program is to improve the lives of one million people.

BUSINESS MODEL

BRANDS

VF Corporation's business model is built around managing and scaling a **portfolio** of global lifestyle brands that cover outdoor, active and workwear categories. VF positions itself as a multi-brand platform rather than a single-brand company. This strategy is central to its **competitive approach**: instead of relying on one flagship brand, it spreads risk and opportunity across The North Face, Vans, Timberland, Dickies and several smaller labels (VF Corporation, 2025a). A core part of VF's recent strategy, the **Reinvent turnaround program**, is to address execution issues, particularly in North America, and bring more discipline across the company. What differentiates VF is its history of building authentic, performance driven brands. Its SEC 10-K report repeatedly emphasises performance and elevated design, showing how the company tries to operate with regards to functional credibility and cultural relevance.

PRODUCTS

VF's products span apparel, footwear, equipment, and accessories across its segments. VF's adoption of product departmentalisation has driven worker **specialisation**, which, in turn, enhanced the overall quality of VF's offerings. This links closely with its **business model**: innovation, fit, materials, sustainability and performance.





VF sources over 260 million units annually through 273 independent factories (VF Corporation, 2025a), demonstrating the importance of **managerial economies of scale**. VF does not own these factories; managers must coordinate operations to keep VF flexible and responsive. This exemplifies the 4th pillar of the **VRIO framework: organised to capture value**.

VF sets science-based emissions targets, uses more recycled materials and works toward implementing renewable energy across its operations. These efforts strengthen brand trust, especially in outdoor markets where environmental responsibility is part of the lifestyle. Through its direct-to-consumer stores, online platforms and brand-specific retail concepts, VF maintains close control over how its products are presented. This helps the company build long term consumer relationships rather than relying solely on wholesalers.

OPERATIONS & RISKS

VF operates in a large and highly competitive global sector and competes with major companies such as Nike and Adidas, as well as brands like Columbia, Patagonia, and countless smaller competitors. Using **Porter's Five Forces** to analyse the environment helps illustrate the challenges VF faces (**see Appendix 1**).

Rivalry: Extremely high. Brands compete on emotion, performance, design, pricing and marketing.

Buyer Power: Increasing. Retail consolidation and e-commerce giants pressure margins.

Supplier Power: Moderate, especially with tariffs, freight issues and geopolitical factors.

Threat of Substitutes: High, as consumers can easily switch from outdoor or premium brands to fast-fashion or value alternatives.

New Entrants: Digital brands emerge quickly; however achieving VF's scale remains difficult.

The sector is also shifting towards sustainability, digital engagement and community-based brand experiences. VF's model is already aligned with these trends, but the rapid pace of change puts pressure on execution. VF's model has a clear logic: operate several authentic lifestyle brands, support them with a global supply chain, reach consumers through multiple channels and build long term loyalty through brand experience and product innovation. The supply chain is the backbone of this model.

Additionally, having sourcing hubs in Singapore, Panama and Switzerland gives VF flexibility, allowing the company to shift production between Asia, Europe and South America based on costs, lead times and tariff considerations (VF Corporation, 2025a). VF combines wholesale and direct-to-consumer (DTC) channels to get reach and control. DTC represented 44% of revenue in Fiscal 2025, showing how important the channel has become.

Sustainability initiatives are integrated in both operations and brand value. Goals related to renewable energy, recycled materials and lower emissions reinforce consumers expectations, especially in the outdoor segment.





The pressure points in VF's model: margin compression, the need to revive Vans and instability in the North American wholesale market are important. The Reinvent program and 'the VF way' are responses to these weaknesses and attempts to create a stable foundation for long term growth. Nevertheless, VF's core model, portfolio diversity, global scale and brand authenticity remains fundamentally strong.

Essentially, VF Corporation's business model combines a diverse brand portfolio with a large global supply chain and a multi-channel distribution system that supports reach and brand engagement. The model is based on product performance, lifestyle credibility and consumer interaction. The alignment of its strategic choices, brand identities, supply chain and sustainability is what gives VF its long term competitive potential, even within a constantly changing industry environment.

CORPORATE GOVERNANCE

OWNERSHIP STRUCTURE

VF Corporation maintains an ethical and effective management structure to support long term success based in a culture focused on integrity, respect and transparency (VF Corporation, 2025b). VF also balances the interests of different stakeholder groups through responsible leadership. In accordance with **Freeman's stakeholder theory**, the company recognises that good governance means serving not only shareholders but also employees, customers, suppliers and communities to achieve sustainable growth (VF Corporation, 2025b).

VF is a publicly traded company listed on the New York Stock Exchange (NYSE: VFC). **Institutional investors** hold the majority of its shares, consisting of approximately 73% of total ownership. Individual shareholders, often referred to as **Main Street investors**, account for 6%, with the rest held by government entities, sovereign wealth funds and smaller, unclassified investors (**see Appendix 2**). The largest institutional shareholders include Dodge & Cox (10.49%), PNC Financial Services Group Inc. (9.56%), The Vanguard Group (9.53%), and BlackRock Inc. (7.23%) (MarketScreener, 2025). The Barbey family, heirs of VF Corporation's founder John Barbey, retain a 5.2% ownership stake, held through family trust accounts managed by PNC Bank. This continued family involvement reflects the family's active interest and participation in the company's affairs (Cuofano, G., 2024).

Although VF's ownership is mainly institutional, the Barbey family's ongoing involvement adds long term stability. Together, this creates a strong ownership structure that combines professional oversight from institutional investors with the stability provided by family representation. According to **agency theory**, this balance supports effective management monitoring and aligns executive decisions with the best interests of shareholders.

VF Corporation operates under a **one-tier board system**, a typical structure for most US corporations. This involves both **executive directors** (employees) and **non-executive directors** working together on a single unified board to manage the company's business and operations.



KEY GOVERNANCE ELEMENTS



The **Board of Directors** acts in the best interests of the company and its shareholders. In fiscal year 2025 (ended March 29, 2025), the Board held 9 meetings and independent directors met in regular executive sessions without management present (VF Corporation, 2025b, p.11).

The Board is majority **independent**, with 11 of its 12 **directors** being independent, led by an independent Chair (Richard T. Carucci) who is separate from the Chief Executive Officer (Bracken Darrell) (**see Appendix 3**). This separation of leadership, which the Board describes as “an effective leadership structure for VF” (VF Corporation, 2025c, p.34), helps strengthen independent oversight, **reducing conflicts of interest** between management and the Board.

The Board is supported by an **executive leadership team** consisting of 14 **C-suite executives** (VF Corporation, 2025d) and 5 **specialised committees** – Audit, Finance, Governance and Corporate Responsibility, Talent and Compensation, and Executive – which operate as subdivisions of the Board itself (**see Appendices 3 & 4**). The executive leadership team oversees global operations and is responsible for implementing the strategic direction set by the Board, focusing on aligning daily operations with the company’s long term objectives. The specialised Board committees provide focused governance oversight. For example, the Audit and Finance Committees discuss financial integrity and major transactions, whilst the Governance and Corporate Responsibility and Talent and Compensation Committees manage board composition, sustainability, ethics, executive pay and succession planning (VF Corporation, 2025c, pp.31-33).

Furthermore, VF’s Board reflects a variety of skills and experience, but **diversity** remains limited in some areas. The average age of board members is 63 (range 52 – 69) (**see Appendix 5**), showing valuable experience but limited generational diversity (VF Corporation, 2025c, p.11). Gender diversity is 33% women, showing progress but remains below equal representation. Nationally, the Board is 71.4% US, 21.4% UK and 7.2% Australia, with overlap due to dual or triple citizenships. All directors are currently US based, thus giving the Board limited geographical diversity.

The Board’s average tenure of 8.8 years (appointments between 2004 to 2024; **see Appendix 5**) is strong by industry standards. This mix of long serving and newly appointed directors provides stability in corporate knowledge and new perspectives that supports innovation and adaptability, all while maintaining established foundations reinforced by the Board’s enduring members. At the organisational level, VF has ~27,000 employees across 46 countries (VF Corporation, 2025c, p.72), demonstrating far greater workforce diversity than at the board level.

The Board’s skills diversity is its greatest strength. As shown in the skills matrix (**see Appendices 3 & 6**), directors have expertise in finance, brand growth, sustainability, digital analytics, human capital management and backgrounds across many industries (**see Appendix 7**). A notable example is Mark Hoplamazian, who brings extensive experience in employee engagement and inclusive leadership, having managed a global workforce of more than 200,000 employees (VF Corporation, 2025e, p.18).

Although he does not formally represent employees, his insights help align workforce engagement with corporate strategy in order to avoid the **Principal-Agent Problem**, linking management decisions to both shareholder and employee interests.



This exemplifies how VF's broad skills diversity enhances governance quality and reduces agency risks. As the company itself states, "our director nominees bring a balance of skills, attributes and experience to their oversight of VF... relevant to VF's business, industry and strategic priorities" (VF Corporation, 2025c).



PERFORMANCE

HISTORICAL ANALYSIS: PROFITABILITY

FY 2010 contained boons for VF: recovering from the 2008 recession, VF experienced improvements in profitability. In 2011, VF **acquired** bootmaker Timberland, through **horizontal integration**, for ~\$2 billion and consequently benefited from risk-bearing **economies of scale**: a **diversification technique** that minimises the risk associated with a single product range. This decision was reflected in **ROS (event A)**; the impact was close to instant; VF's **net profit margin** increased from 7.4% in 2010 to 9.4% in 2011 and then attained 10% in 2012. Monetarily, **net income** doubled from \$571 million in 2010 to over \$1 billion by 2012. These gains drove **ROTA** and **ROE** as well, suggesting increased operation efficiency and ability to generate profits. **(event B)**.

2013 was a success for VF. Enjoying record **profitability** and high profit margins, VF gained a new apogee. Their prominent sales of core brands — Vans and North Face — drove a robust ROE. Nevertheless, their upward trend soon faced resistance: owing to an impairment of goodwill and intangible assets, net income declined ~13%. This was demonstrated by a falling profit margin and decreasing ROTA.

Managers rescued VF by utilising the controlling function; they implemented cost control techniques and improved the sales mix, focusing on higher margin outdoor and action sport brands. Lower input prices in 2015, e.g., in cotton and freight, propelled ROTA and ROE to new heights. **(event C)**.

Around 2016, the promising trend of VF's **profitability ratios** reached an inflection point: net profit margin fell ~10% in 2016 as sales stalled and costs rose. Key factors to blame were a strong US dollar and a warm winter. VF's export competitiveness fell, and the warm winter resulted in reduced cyclical demand. Since demand for apparel tends to be price elastic, VF's total revenue declined. This was demonstrated by falling **asset turnover** and diminishing ROTA, suggesting reduced ability to use assets to generate sales. **(event D & event E)**.

The tailspin recommenced, worsening in 2017. VF's net income plunged — ROTA fell by roughly half, and ROE dropped into the mid-teens — all due largely to one time charges and strategic changes: VF diagnosed the underperformance of several units and crafted a strategy: VF spun off Sports Group and Nautica, demonstrating the 3 elements of a good strategy: problem identification, strategy development, and commitment to action.

However, the long term gains were shrouded in short-term losses: VF took significant expenses and impairments, specifically \$130 million for Nautica's goodwill **(event F)**. Additionally, the Tax Cuts and Jobs act, although reducing corporate taxes, resulted in a one-time toll charge on unrepatriated foreign earnings and forced revaluation of deferred taxes. This meant a notable provisional tax expense of approximately \$465 million in Q4 2017. This single charge compressed VF's FY2017 EPS by \$1.15, dragging with it ROE **(event G)**. Moreover, VF merged with Williamson-Dickie in 2017.

While the acquisition was strategically sound, it resulted in VF incurring notable integration costs and added goodwill that pummeled short-term returns **(event H)**.

From 2018-2019 VF experienced a rebound in profitability. Many factors contributed:





The US tax reform turned out to be a blessing in disguise; with the tax cut from 35% to 21%, VF's effective tax rate declined, boosting net income. Furthermore, the absence of 2017's one-off charges meant VF reported normalised earnings.

VF's net income rose, and net margins improved. ROTA and ROE followed **(event I)**. Worth mentioning was the acquisition of Icebreaker and Altra by VF in 2018; although relatively small, these acquisitions expanded VF's outdoor selection, boosting consumer choice **(event J)**.

2019 was a pivotal year; VF decided to spin off its Jeanswear division to a new company — Kontoor Brands. This move ameliorated VF's average net profit margin. Furthermore, ROE rose since equity declined due to the distribution of Kontoor shares **(event K)**.

2020 was a culminating point promising shocking losses: the pandemic battered VF's financial position. In Q1, global lockdowns forced VF to close most of its retail stores. Revenues declined accordingly, and the company reported losses. Profitability ratios collapsed. On top of that, VF took another impairment on Timberland; this resulted in VF's net income falling to \$679 million in FY2020. ROTA and ROE followed suit **(event L)**.

Recovering somewhat in 2021, VF reopened most of its shops. Sales resumed, and Timberland saw growth. The trajectory was positive, but the increments were small. VF acquired Supreme, which added to revenues and increased margins. VF's ROA and ROE began to rise through 2021 **(event M)**. In 2022, VF cut discounts and returned to pre-covid sales. Revenue surged 28% and gross margins expanded. Consequently, ROTA increased further, signalling more efficient operations **(event N)**. Furthermore, ROE was augmented by debt after the Supreme acquisition **(event O)**. By the end of the year, rising inflation and lower consumer confidence reduced Vans' sales; this depressed ROTA and signaled reduced efficiency **(event P)**.

Through 2023 and 2024, industry headwinds and missteps further battered profitability ratios. Excess inventories increased fixed costs and reduced net margins, as can be seen by a declining ROS **(event Q)**. VF also acknowledged that it overpaid for Supreme. This write-down had a significant impact on VF's earnings: ROE fell sharply, and ROTA followed **(event R)**. Shareholder activism took effect: VF's long time CEO, Steve Rendle, resigned **(event S)**.

2024 held macroeconomic challenges: high interest rates and significant impairments reduced earnings; VF recorded \$507 million of impairments on Timberland, Dickies, and Icebreaker **(event T)**. After experiencing coordination **diseconomies of scale** from Supreme, VF decided to offload it for \$1.5 million, a price implying roughly \$600 million loss on VF's initial investment **(event U)**. 2025 seems mixed: Bracken Darrell – the new CEO – launched a plan to revive Vans and regain its **competitive advantage**. VF sold off underperforming units and focused on its outdoor active brands to maintain income equilibrium. However, high import tariffs on Asian goods squeezed VF margins and subsequently reduced ROTA. The company cited cost control techniques and supply chain efficiency improvements as its objectives. Despite this, ROE and ROTA remain far below historical averages, reducing the ability to use assets and stockholder funds to generate net income and operating profit **(event V)**.

HISTORICAL ANALYSIS: LIQUIDITY

Preceding the financial crisis of 2008-2009, the availability heuristic contrived management to increase cash holdings and keep inventory levels conservative. This placed slight upward pressure on the current and quick ratio **(event A)**.

VF's recovery was observable through the period of 2010-2011: demand stabilised, and consequently forecasting became easier; this reduced the need to hold excess inventories, and therefore **inventory days** edged down.





During the financial crisis, **liquidity** preference of consumers grew; now, during the recovery phase, they could spend easier, meaning lower **debtor days** for VF (**event B**).

On September 13th 2021, VF's acquisition of Timberland was consummated. VF paid \$2.3bn cash and took on debt to finance the deal. This reduced the **current and quick ratio**. The additional stock gained from Timberland increased inventory days and WC-to-sales, suggesting reduced efficiency in using **working capital** to generate sales (**event C**).

During the period from 2012-2016, VF's workforce experienced learning **economies of scale**, most likely originating from the simplification of products and processes as well as the better selection of inputs. This increased **stock returns**, leading to falling inventory days and WC-to-sales. Furthermore, the direct-to-consumer model reduced the costs associated with **intermediaries** and therefore increased direct cash sales, prompting a mild decline in debtor days. Persistent cash buybacks funded from cash and cash equivalents reduced the current and quick ratios (**event D**).

VF's deal to buy Williamson-Dickie closed on the second of October 2017. Cash was used to finance the acquisition; this depressed the current and quick ratios. Additionally, the inventory-heavy workwear put upward pressure on inventory days and WC-to-sales (**event E**).

May 23 2019, marked the day of the completion of the spin-off of Kontoor Brands. The Jeanswear arm was notoriously working-capital heavy, and consequently, inventory days and WC-to-sales fell, while the current ratio experienced a modest increase. Furthermore, the slow-paying denim customers departed with Kontoor. This was realised with improving debtor days (**event F**).

Post-Kontoor, but pre-COVID VF focused on more premium, faster-selling brands. The associated tighter working capital depressed inventory days and WC-to-sales to their lowest levels. At this time, the current and quick ratios sat around the industry average (**event G**).

On March 11, 2020 WHO declared the pandemic; subsequently, VF closed all North America stores. This led to a sales collapse and increased inventory days; WC-to-sales followed suit. Consumer incomes fell, and therefore VF received payments slowly, meaning that debtor days increased.

To ease the short-term financial pressure, VF took up a ~\$1bn loan; with limited immediate **payables**, the impact was notable; the current ratio and quick ratio rose sharply (**event H**).

A \$2.2bn **cash outflow** marked the inflection point of the current and quick ratio. This cash was used to purchase Supreme. The acquisition resulted in slightly higher inventory days (**event I**).

The current and quick ratios experienced a boost preceding the agreement to sell Occupational Workwear on June 28 2021. This is attributable to the slow buyer-to-buyer nature of workwear. Furthermore, inventory days and WC-to-sales declined as stock flowed out of the business (**event J**).

Fiscal year 2022 was compelling: demand remained strong, leading to inventory days declining to their lowest levels. VF paid suppliers quickly to secure capacity, leading to a shorter cash-conversion cycle. Excess inventory was generated as management misjudged demand during the boom; 2023 carried challenges for VF. Surplus inventory meant inventory days surged, and WC-to-sales to follow close.

At the same time, wholesalers attempted to negotiate more favorable terms, leading to an increase in debtor days to around 50 (**event K**). Weakening earnings and a high stock price forced VF to pay vendors later. This pushed up creditor days. At the same time, limited cash drove the current and quick ratios down to their lowest points.



Moreover, VF sold Supreme, which reduced its stock levels, decreasing inventory days **(event L)**. VF implements strict cost control techniques, reducing stock levels and orders. Thus, inventory days declined and WC-to-sales improved. VF sold Dickies on September 15 2025, ultimately lowering inventories and receivables, helping inventory days, and marginally improving WC-to-sales **(event M)**.



HISTORICAL ANALYSIS: FINANCIAL STRENGTH

April 2010 to September 2013 was characterised by low **leverage** and high **interest coverage**: interest coverage stood at 10-20x, signaling a strong ability to cover debt. This can be attributed to notable operating profits originating from VF's core brands. Even after VF acquired Timberland, D/E only briefly turned positive before returning to negative values **(event A)**.

VF started to rely slightly more on debt through 2014-2016; equity, however, still remained the dominant source of power. Interest coverage values edged up during the winter, and midyear troughs still held around 7-10x. Again, steady profitability can be cited as the main determinant **(event B)**.

After VF acquired Williamson-Dickie, D/E jumped slightly to 0.52 in July 2017; coverage turned more volatile and fell to 6.6x, though it still spiked during quarters with strong earnings **(event C&E)**. As VF spun off Kontoor and paid some debt down, financial leverage declined at the same time as interest coverage increased. Clearly, the debt-funded acquisition levered capital, but the spin-off and strong earnings offset both to favorable values **(event D)**.

As the pandemic entered a nascent stage, financial leverage increased as VF drew on credit to sustain heavy losses during the COVID shock. Since VF generated an operating loss, and operating losses cannot cover interest, interest coverage collapsed in June 2020 **(event F)**. VF recovered partially in 2021; financial leverage fell from 4.14 to 3.86, while coverage improved from 5.81 to 15.6 **(event G)**. 2022 had a slight relief: during early 2022, interest coverage soared to 20x even though leverage remained elevated. However, coverage crashes to 1.9x — slightly below the acceptable level of 2x. Then coverage fell to -2.6; signaling trouble, this can be attributed to impairment expenses, inflation, and coordination diseconomies with Supreme **(event H&I)**.

Leverage escalated during summer 2023 and coverage remained highly unstable from 2023 - 2025. As VF's profits fell, impairment costs ate into earnings, and debt levels remained high, financial leverage reached extreme levels. Interest coverage only returned to 6x, leaving VF in a delicate position, in fact, a worse position than during the 2010s **(event J&K)**.

MACROECONOMIC CHALLENGES

PESTEL ANALYSIS

VF Corporation has faced several **macroeconomic challenges** that have been harder to manage than expected. The last few years have been fluctuating for the company, which can be seen in its performance but also on political and socio-cultural levels. To understand VF's current position, we conducted a **PESTEL analysis**.

Political: The corporation faces the harsh and constantly changing world of tariffs, which often put significant pressure on supply chain.

Economical: One of the biggest subsidiaries of VF, Vans, faced a decline throughout FY23–FY25, while other subsidiaries have been growing slowly.

Socio-cultural: Consumers often reported a decline in quality of Vans in the last few years. However, The North Face Company or Timberland are both recognised internationally.



Technological: VF started to invest in several technological areas, which include modern marketing, AI, business planning and a global commercial platform.

Environmental: VF is committed to reduce greenhouse gases during their manufacturing process and has established goals by the financial year of 2030.

Legal: VF is committed to several Global Compliance Principles to enforce their company's mission statement, although they do have a long history of legal problems.



POLITICAL EXPOSURE AND MANUFACTURING FOOTPRINT

The company's manufacturing locations includes China (461 factories), Vietnam (207), Bangladesh (58), Cambodia (39) and Indonesia (35) (2), totalling 800 factories in just five countries. VF also relies on 166 Tier 1 factories responsible for designing the final products before shipment. Subsequently, "In Fiscal 2025, VF derived 51% of its revenues from the Americas ..." (3). Therefore, the tariffs applied to these countries are harmful to VF's operations, creating financial risks.

TARIFF STACKING

Tariff stacking occurs "when multiple tariffs apply to the same imported product under separate trade actions" (4) and is a problem for products imported from South or East Asia. In April, Trump imposed a 46% tariff on Vietnam. The total exposure of Tier 1 factories in Vietnam and China is around 55%, and the company's share price fell around 25% following the announcement (5). As of 7th August, the import tariff was reduced to 20%, however this is offset by an additional 40% penalty on transshipment (when companies or countries use an intermediary stop to ship and deliver products, which can create a tariff loophole if done through a country with lower tariffs).

As VF has several factories in the region, this becomes a serious problem. Tier 2 and Tier 1 factories are interconnected through countries, which inevitably causes tariff stacking (7) (**see Appendix 11**). Overall, the newly announced tariffs in the previous three quarters have already affected the business. As the CFO said in June, "The expected annualized tariff impact will amount to around \$250 to \$270 million."

POTENTIAL SOLUTION

As the company mentioned in their quarterly report, management is trying new strategies to manage tariff uncertainty, including "sourcing optimization, accelerating production and shipments into the U.S. during the period of delayed application of the reciprocal tariffs, negotiations with our vendors, and planned price increases." (8) Sourcing optimisation is very important as the impact of 40% transshipment penalty could be reduced for several products, saving substantial costs. Price increases may also help, though feasibility varies by brand. More defensible for *The North Face* or *Timberland*, but not for *Vans* given its current demand weakness.

Furthermore, VF's broader transformation program, *Reinvent*, launched in October 2023, to be completed in FY2026 Q1. Although it delivered some operational improvements, it didn't meet expectations. Therefore, the company should prioritise brand building, specifically stabilising Vans, one of its largest brands, which has significant growth opportunities that need to be exploited.

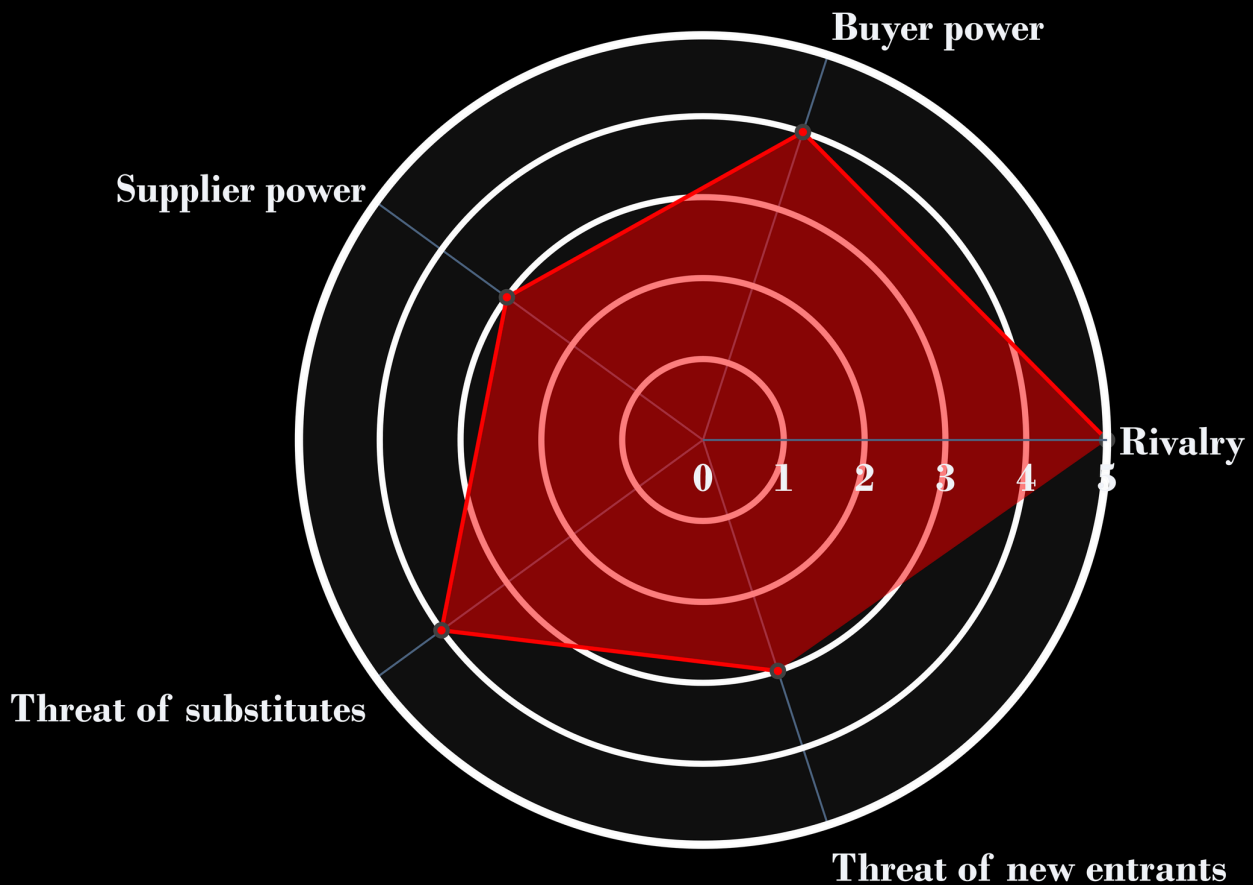
Recent years have been challenging, but the company is now operating with better clarity on the external environment. Priorities should include addressing the most urgent complications whilst maintaining a coordinated approach, as well as renewing long term competitiveness.



APPENDIX

BUSINESS MODEL

APPENDIX 1: PORTER'S FIVE FORCES



(AUTHOR'S OWN WORK)

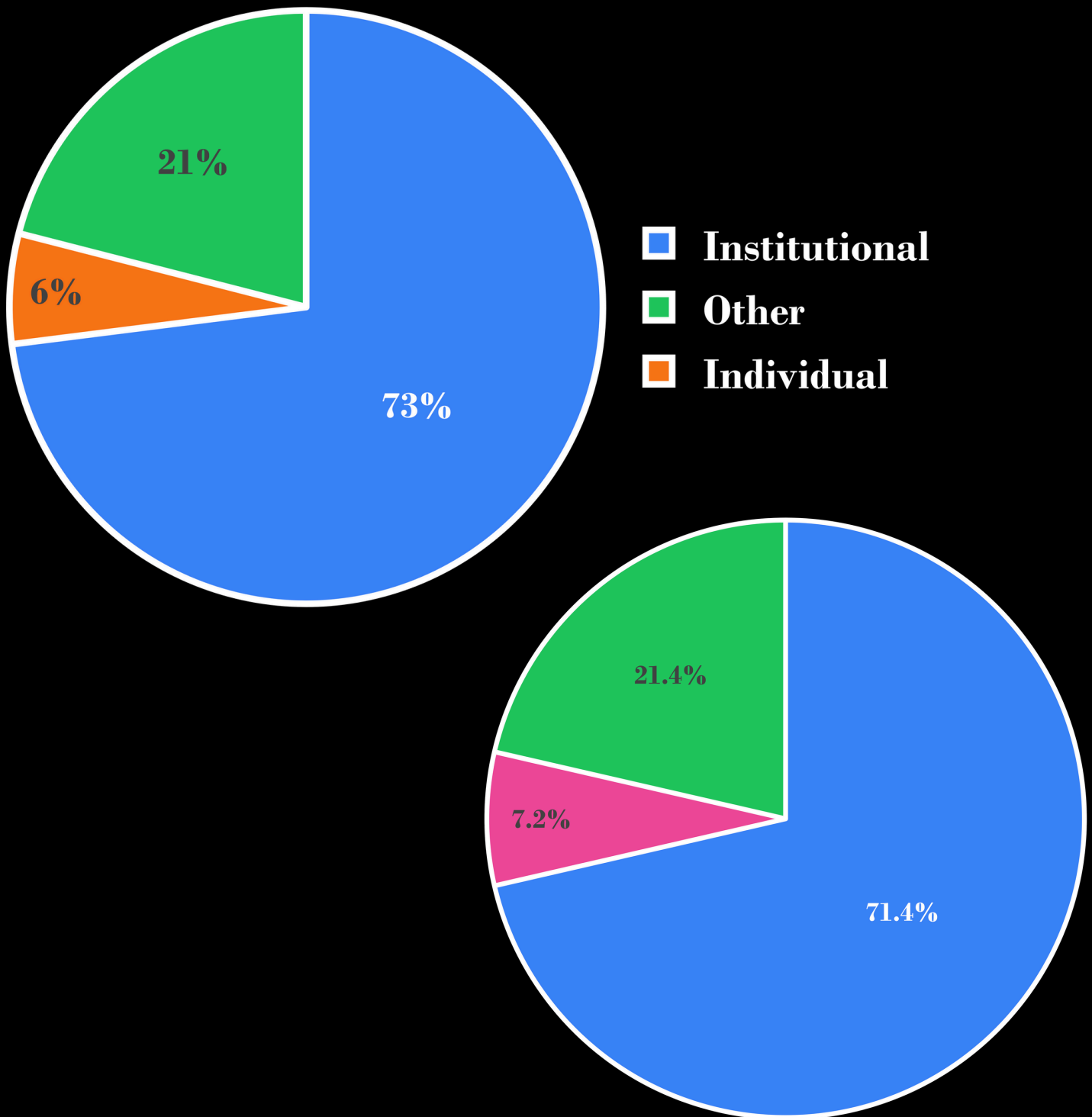


APPENDIX



CORPORATE GOVERNANCE

APPENDIX 2: BREAKDOWN BY SHAREHOLDER TYPE AND DIVERSITY



(AUTHOR'S OWN WORK)

■ USA ■ Europe ■ Oceania

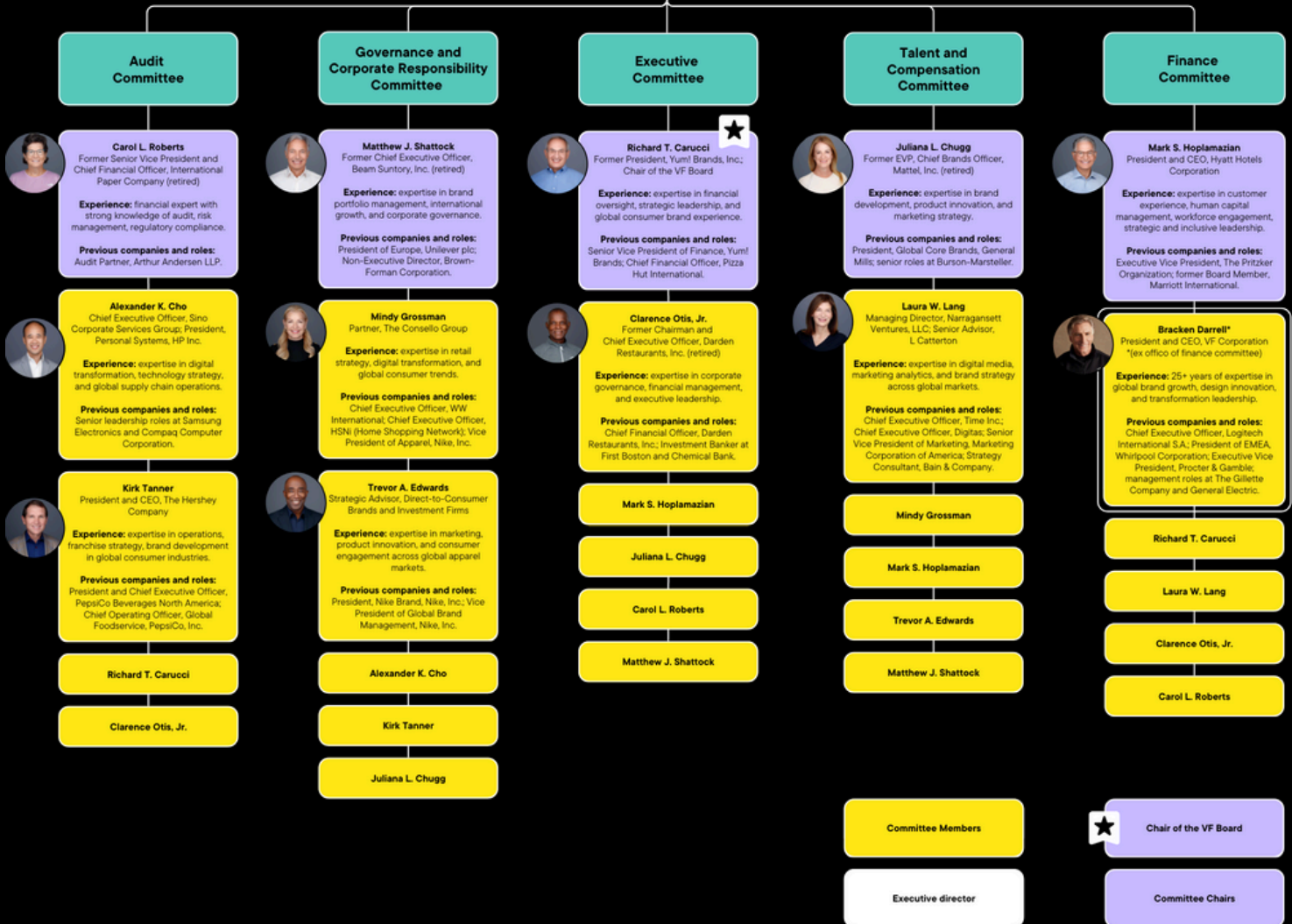


APPENDIX

CORPORATE GOVERNANCE

APPENDIX 3: 2025 BOARD OF DIRECTORS

VF CORPORATION CORPORATE GOVERNANCE 2025 BOARD OF DIRECTORS



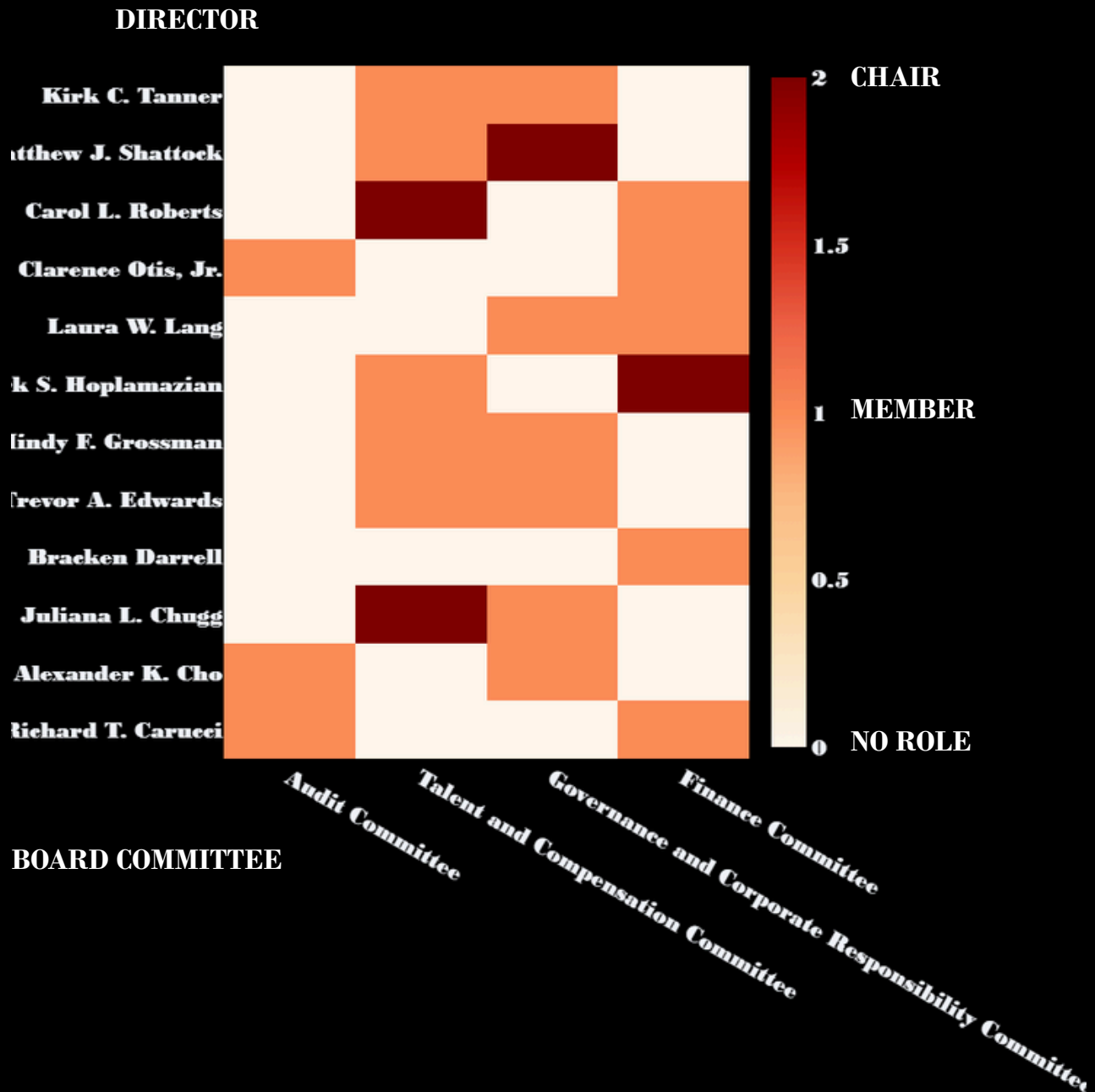
(AUTHOR'S OWN WORK)

APPENDIX



CORPORATE GOVERNANCE

APPENDIX 4: SPECIALISED BOARD COMMITTEES



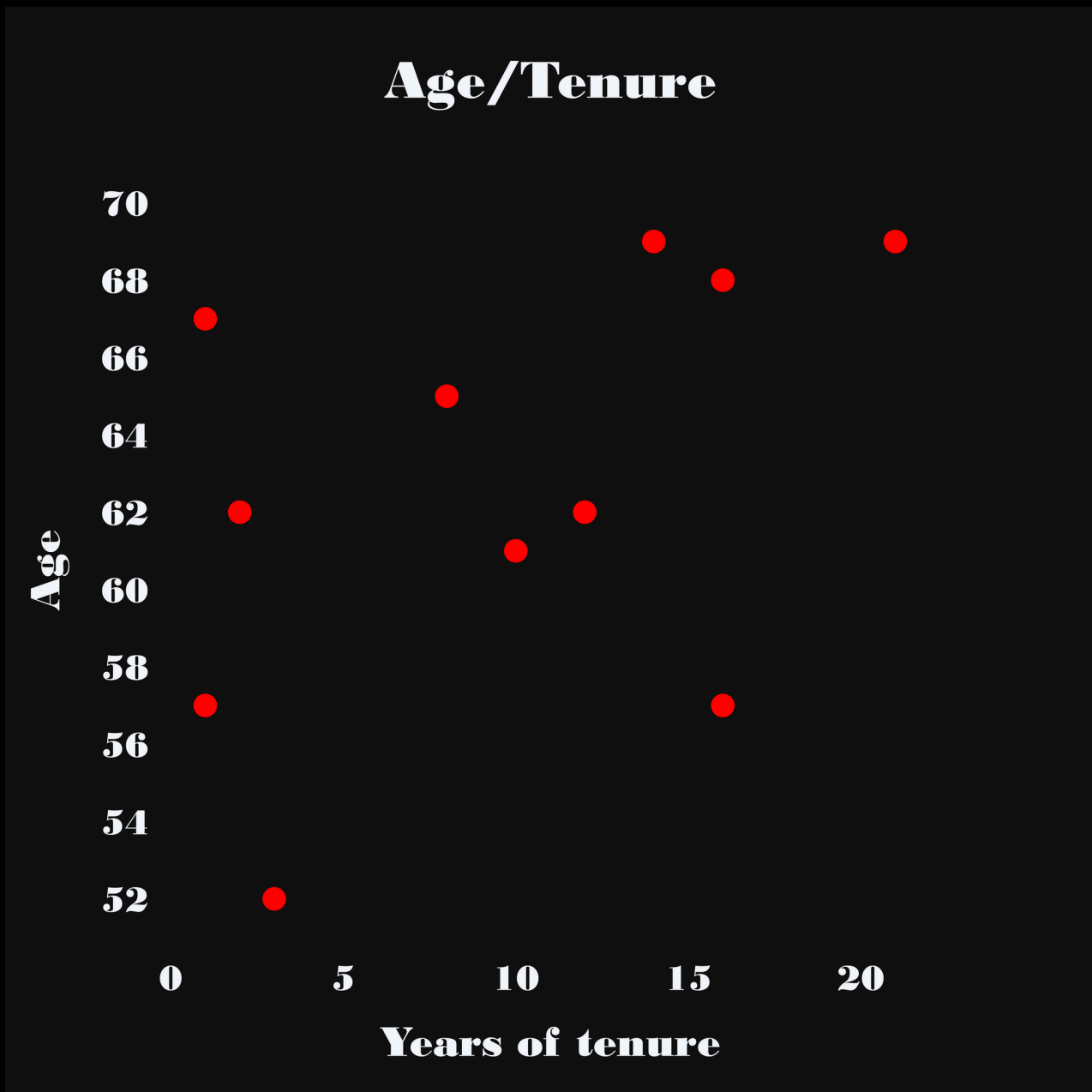
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APPENDIX

CORPORATE GOVERNANCE

APPENDIX 5: AGE AND TENURE OF BOARD MEMBERS



(AUTHOR'S OWN WORK)

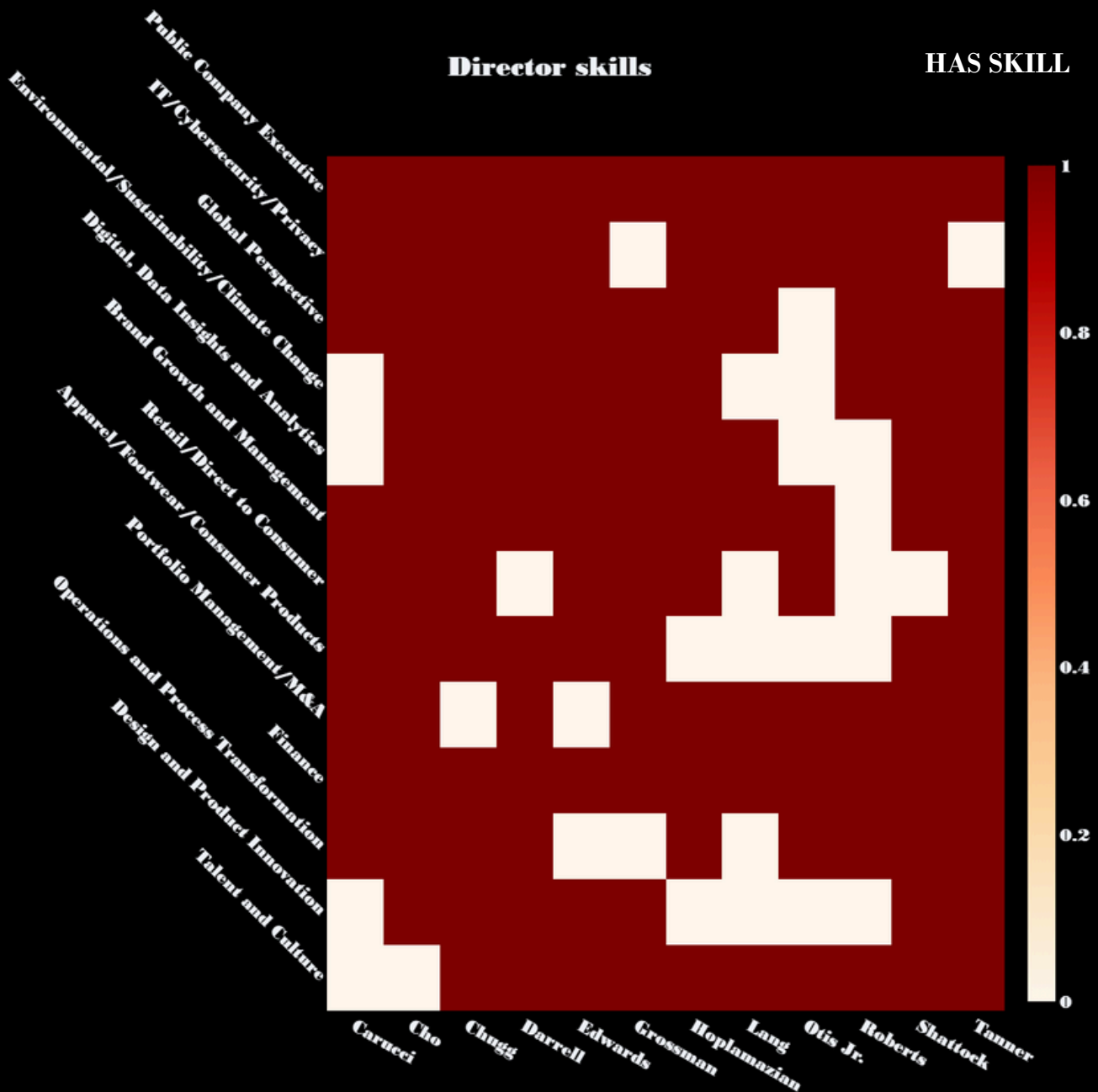


APPENDIX



CORPORATE GOVERNANCE

APPENDIX 6: BOARD DIRECTORS' SKILLS DISTRIBUTION



(AUTHOR'S OWN WORK)

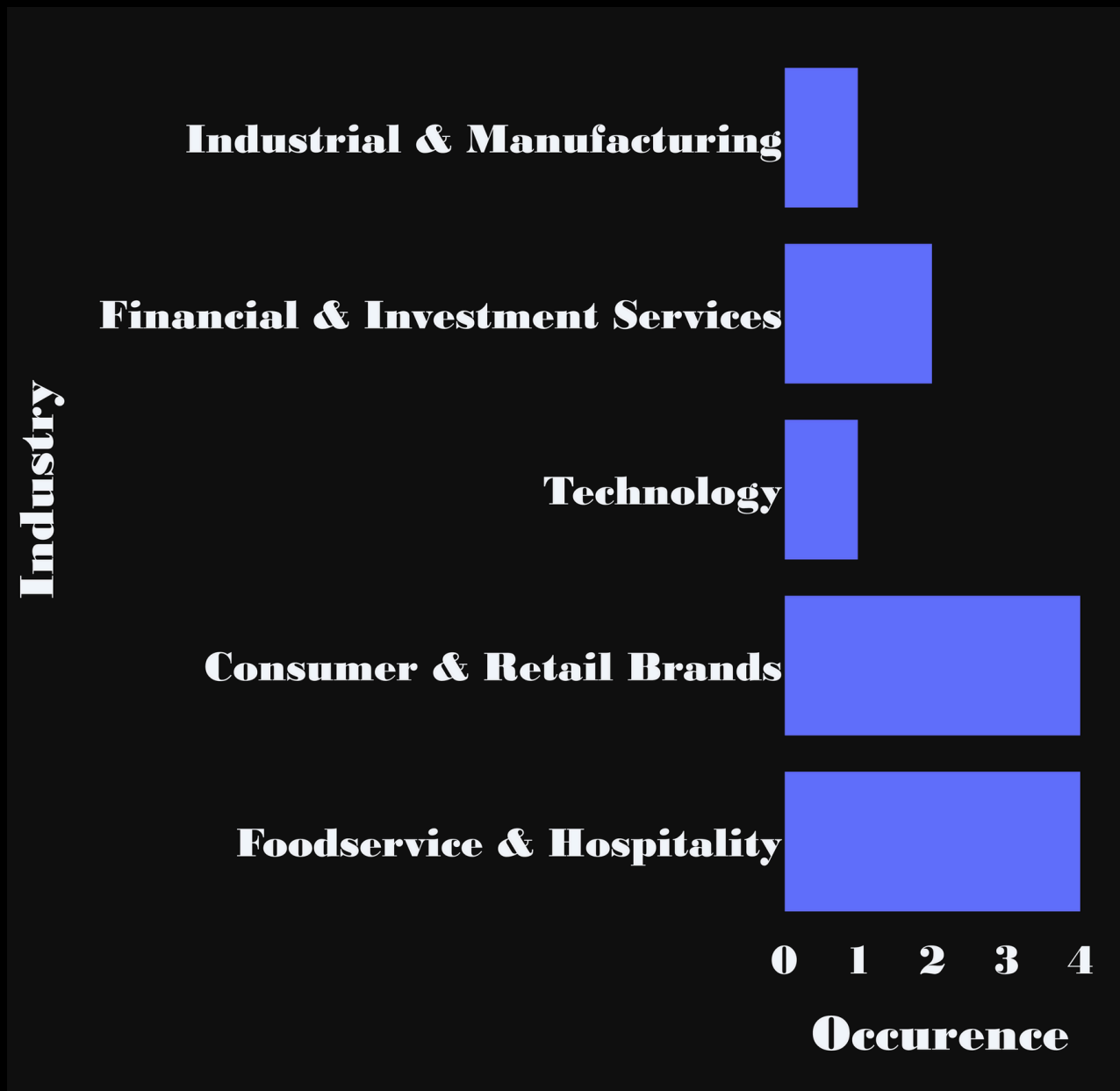


APPENDIX



CORPORATE GOVERNANCE

APPENDIX 7: INDUSTRY PREVALENCE IN THE BOARD



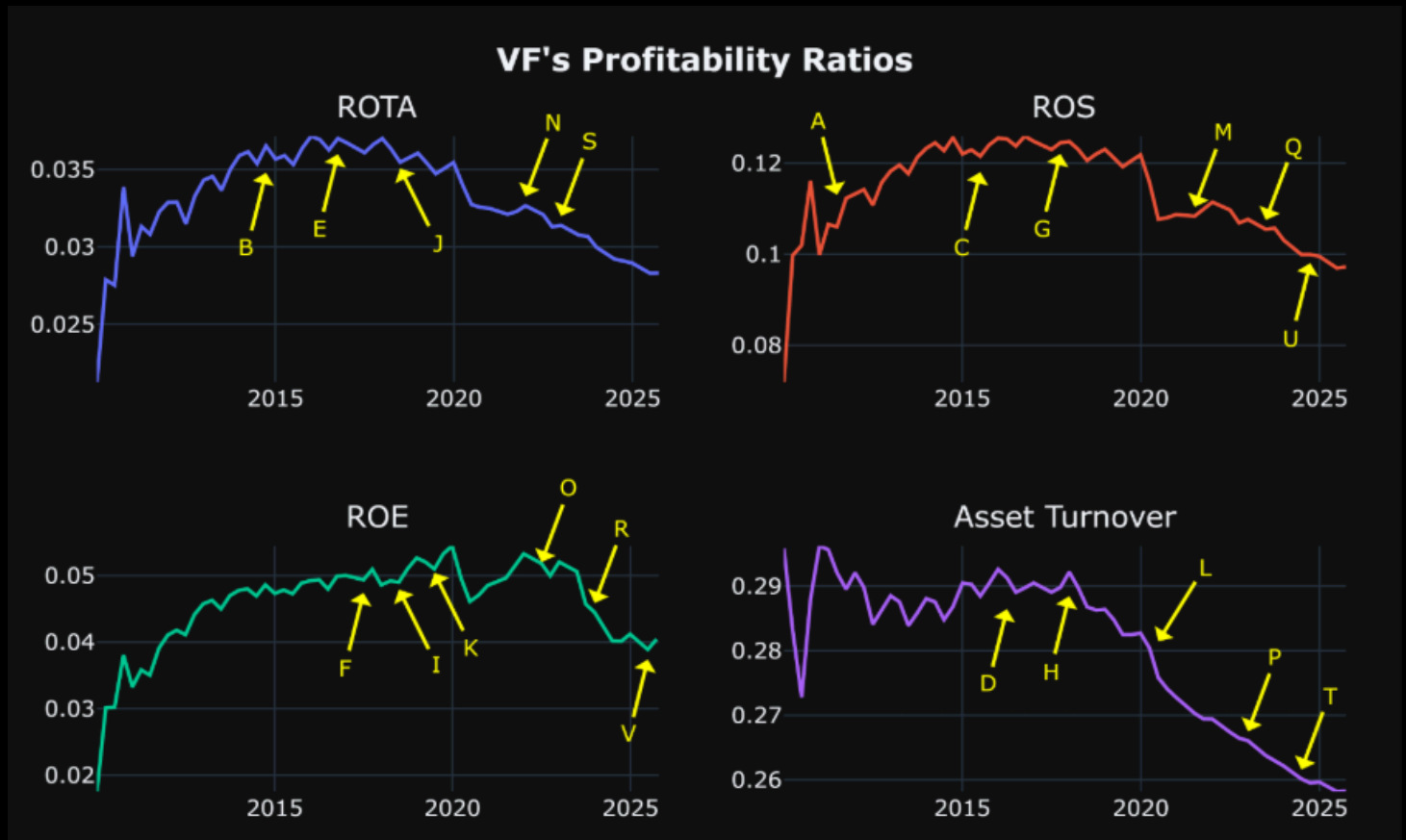
(AUTHOR'S OWN WORK)



APPENDIX

PERFORMANCE

APPENDIX 8: HISTORICAL ANALYSIS: PROFITABILITY



The figure above illustrates the 4 key profitability ratios associated with the study of VF Corporation's income equilibrium. The data has been transformed using a cumulative moving average (CMA) transformation to allow the study of VF's average profitability from 2010 to 2025.

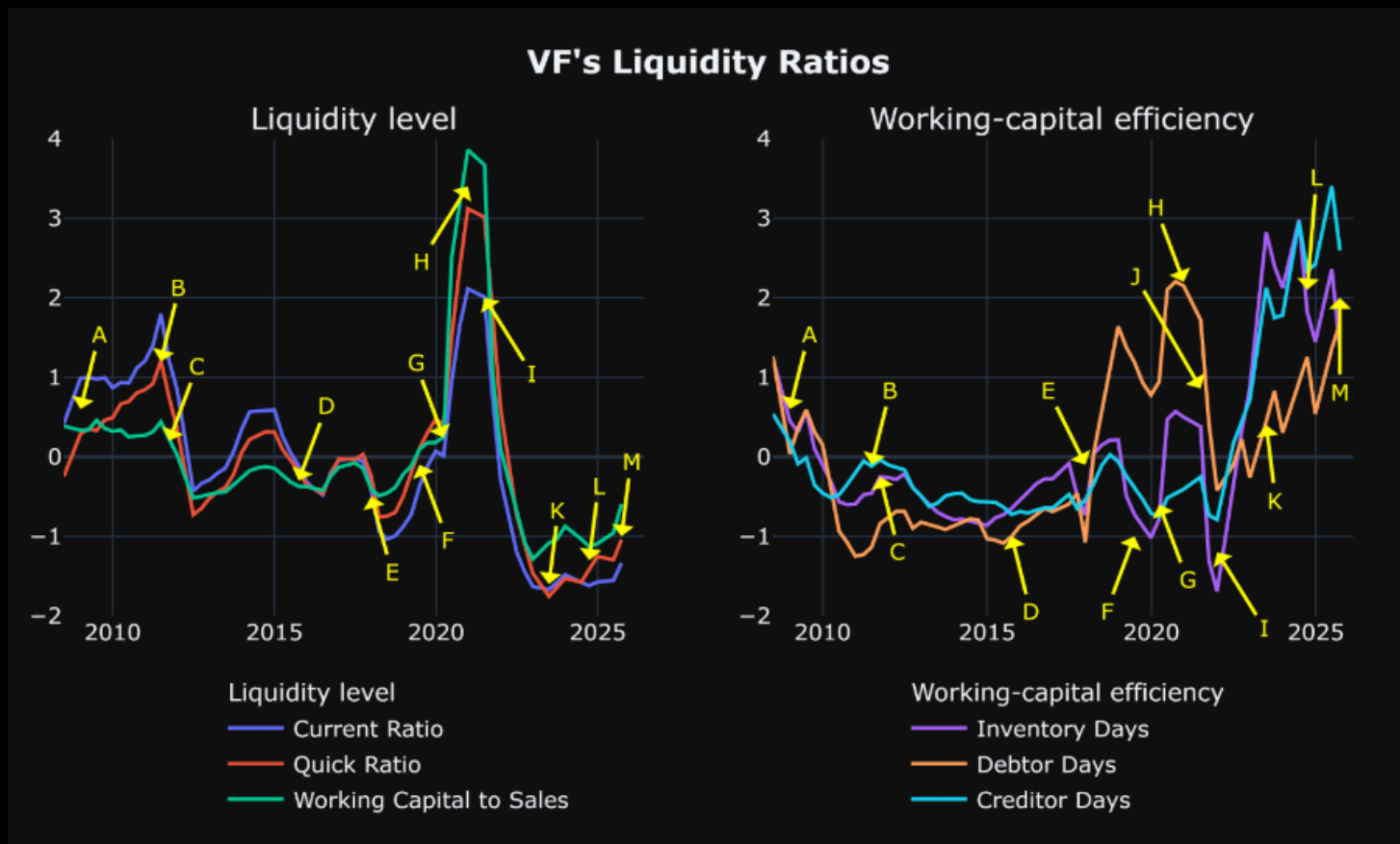
(AUTHOR'S OWN WORK)



APPENDIX

PERFORMANCE

APPENDIX 9: HISTORICAL ANALYSIS: LIQUIDITY



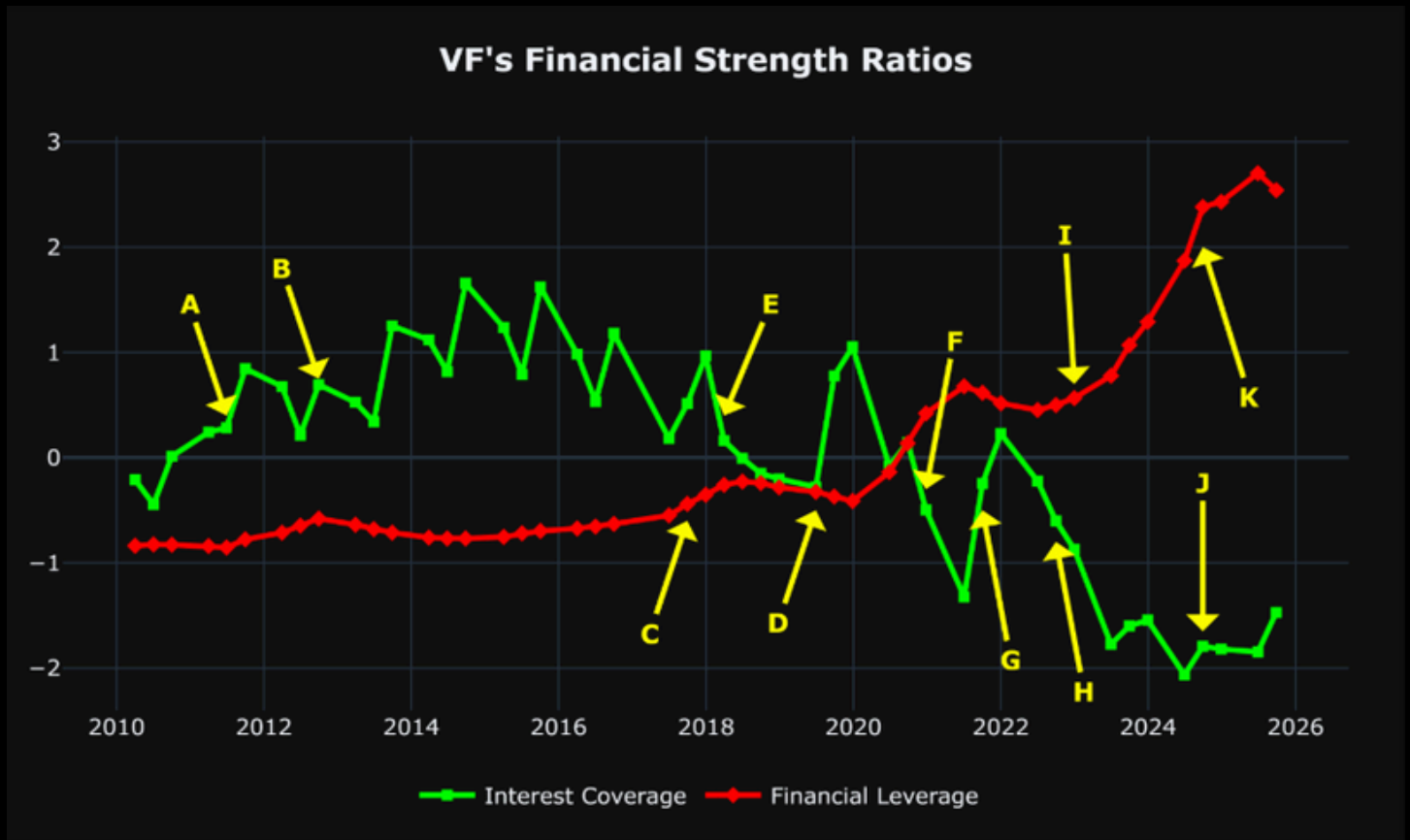
The figure above represents VF's cash equilibrium from the period June 2008 to September 2025. First, a 4-quarter rolling mean was applied to the data; subsequently, z-scoring was used. The combination of these methods permitted the study of trends without noise and seasonality. Furthermore, it allowed the comparison of the relative performance of each ratio.

(AUTHOR'S OWN WORK)

APPENDIX

PERFORMANCE

APPENDIX 10: HISTORICAL ANALYSIS: FINANCIAL STRENGTH



The above figure portrays the trend of two of VF's financial strength ratios. The figure was transformed using a 4-quarter rolling mean and z-scoring. Debt to equity was removed since it is a linear transformation of financial leverage, and thus after standardization it would coincide with it.

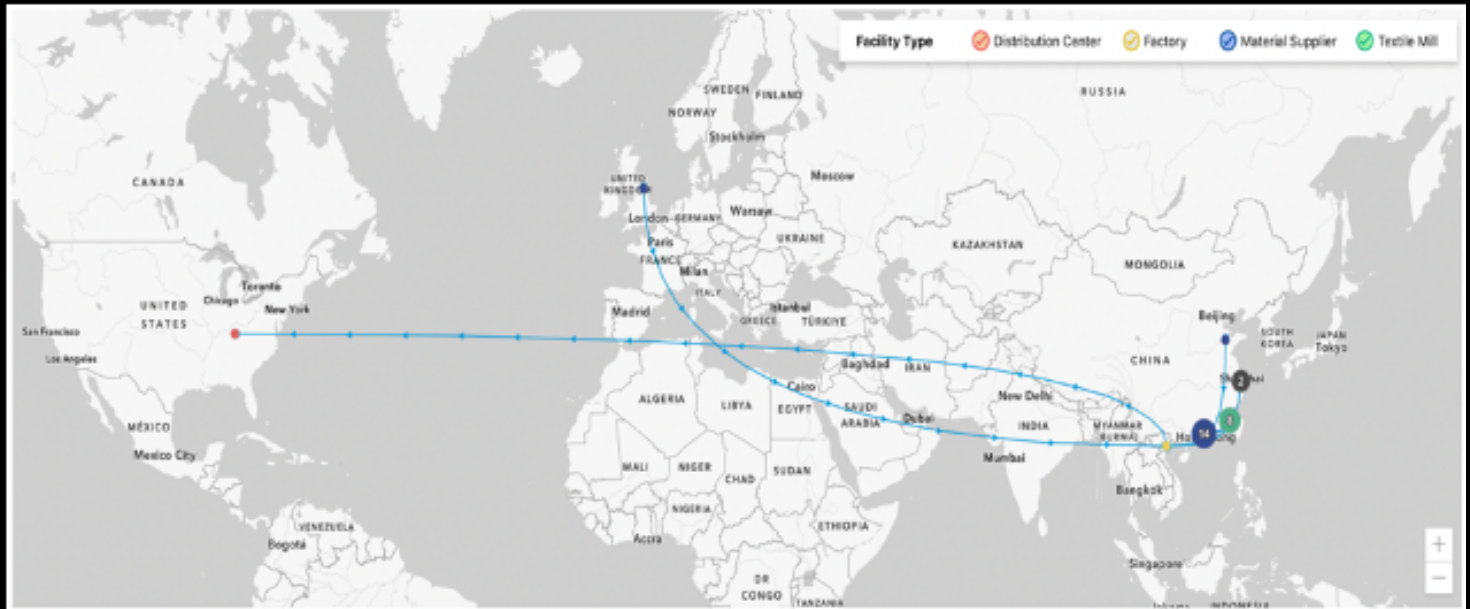
(AUTHOR'S OWN WORK)



APPENDIX

MACROECONOMIC CHALLENGES

APPENDIX 11: VF'S INTERCONNECTED GLOBAL FACILITIES



(AUTHOR'S OWN WORK)

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DISCLAIMER

All visuals throughout the document have been created using Canva and a Python graphing library called Plotly. Raw data used for the analysis of ratios in chapter 4, performance, has been congregated using SEC's EDGAR API - an application program interface allowing programmatic retrieval of financial information. The ratios have been calculated using program code.

We used ChatGPT (GPT-5, 10 Nov 2025) to brainstorm structure, support our research process and identify potential sources. All analysis and arguments are our own; information was verified against the primary sources cited in our bibliography.

No generative AI was used to write, edit or polish any part of the text itself, and no AI was used to create or modify visuals. All writing and visuals are our own original work.

